

IV

DeFi PRIMITIVES

Now that the DeFi infrastructure has been discussed in detail, this chapter describes the primitive financial actions that developers can use and combine to create complex dApps and the advantages each action may have over its centralized counterparts.

TRANSACTIONS

Ethereum transactions are the atoms of DeFi (and Ethereum as a whole). Transactions involve sending data or ETH (or other tokens) from one address to another. All Ethereum interactions, including each of the primitives discussed in this section, begin with a transaction. Therefore, how transactions work is an integral part of understanding Ethereum in particular and DeFi in general.